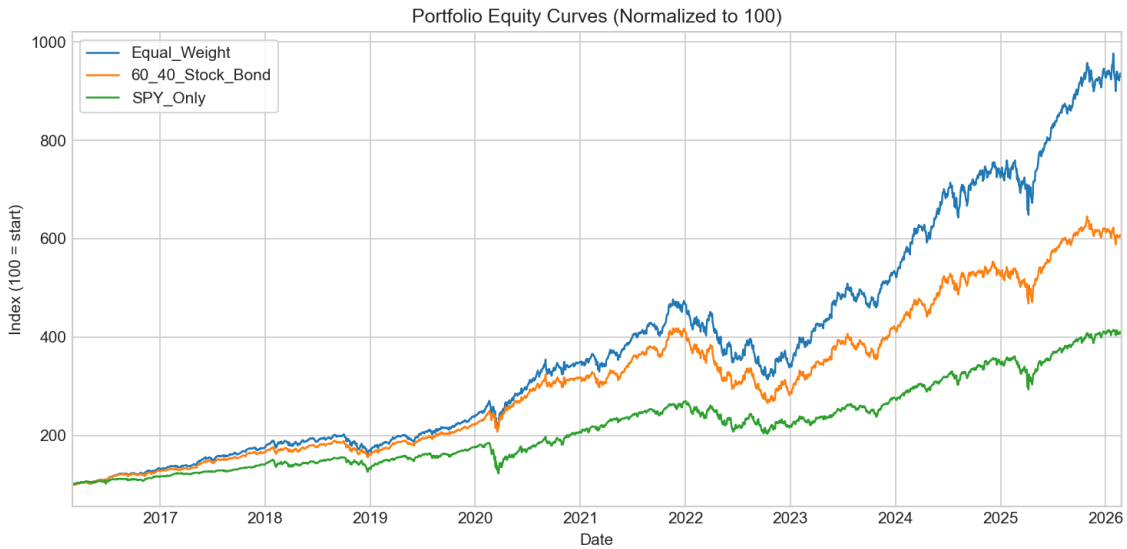
Portfolio Backtest Report

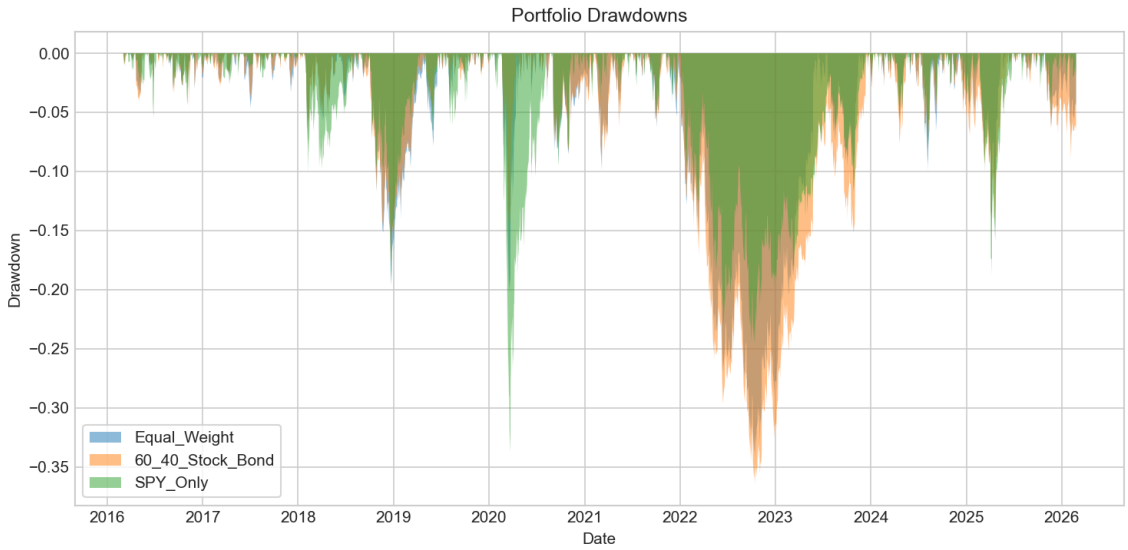
Summary: Portfolio Metrics

portfolio	total_return	cagr	volatility	sharpe_ratio	sortino_ratio	max_drawdown	calmar_ratio
Equal_Weight	837.08%	0.2519	17.78%	1.36	1.82	-34.20%	0.74
60_40_Stock_Bond	507.45%	0.1986	16.18%	1.21	1.66	-36.44%	0.54
SPY_Only	309.37%	0.1520	17.88%	0.89	1.07	-33.72%	0.45

Equity Curves (Normalized to 100)



Drawdowns



Interpretation

This backtest compares three portfolios over the chosen period. **Equal Weight** allocates the same weight to all six assets (SPY, QQQ, MSFT, NVDA, TLT, GLD), which can lead to higher volatility because of the large weight in more volatile names (e.g. NVDA, MSFT). **60/40 Stock/Bond** holds 60%% in stocks (SPY, QQQ, MSFT, NVDA equally within the stock sleeve) and 40%% in bonds (TLT). Bonds typically reduce drawdowns and volatility, so this portfolio often shows lower maximum drawdown and smoother equity curves than all-equity strategies. **SPY Only** is a pure large-cap US equity benchmark. Comparing risk and return across the three: diversification into bonds (60/40) usually reduces drawdowns; equal weight may exhibit higher volatility due to concentrated exposure to high-growth names like NVDA and MSFT.